

all users, regardless of their allocation conditions, to participate in governance and staking activities.

6.1.1 Rationale for Non-Transferability

1. **Network Functionality:** The purpose of the WCT token is to support and enable network functionality. By restricting transferability, the tokens will remain within the ecosystem to serve their intended purpose.
2. **Long-Term Focus:** This purpose for the WCT token and restriction on transferability allows the prioritization of the long-term development and stability of the WalletConnect Network. Non-transferability provides an opportunity to thoroughly test all token functionalities, including staking, governance and mechanisms.
3. **Ecosystem Development:** This short-term non-transferability period serves as the starting point for creating and nurturing the WalletConnect ecosystem, allowing participants to engage with the Network's core functionalities.
4. **Infrastructure Protection:** As a key piece of web3 infrastructure, the WalletConnect Network must be stable and secure. This non-transferability period mitigates potential risks associated with premature token liquidity.

It is expected that the WalletConnect Foundation will facilitate the token holder community to propose and vote on when transferability will be enabled.

By taking this measured, community-involved approach, the WalletConnect Foundation aims to build a robust, secure, and sustainable ecosystem that serves the long-term interests of all participants in the WalletConnect Network.

6.2 WCT Allocation

The initial supply of WCT tokens is capped at 1 billion, with allocations designed to support the Network's growth and sustainability. These allocations include:

- **Core Development:** 7% For further development of the protocol and related modules
- **Rewards:** 17.5% For staking and performance rewards
- **Airdrops:** 18.5% For seasonal airdrops to users, apps, wallets, nodes, etc.
- **Team:** 18.5% For team members of Reown and WalletConnect.
- **Previous Backers:** 11.5% For those who provided resources and support to the early-stage Network.
- **WalletConnect Foundation:** 27% For partnerships, grants, ecosystem development, and operations.